COLLEAGUE LETTER OF UNDERSTANDING (CLOU)

OBJECTIVE

The Colleague Letter of Understanding (CLOU) addresses gaps in clarity around role and purpose, the need for actionable feedback, the need for local knowledge regarding available talent resources, the ability to scale without costly bureaucracy, and the need for accountability.

SOLUTION ELEMENTS

The core components of this practice are as follows:

Developing Clarity of Understanding Through Negotiation and Agreement: The process of co-creating one's CLOU with fellow colleagues is an educational experience. Each colleague is expected to identify a Personal Commercial Mission that aligns with the Mission, Vision, Values and Principles of the enterprise, and that Personal Commercial Mission needs to make sense for the individual colleague as well as the colleagues with whom that person interacts. Similarly, negotiating the specific processes for which one agrees to be accountable with one's colleagues provides heightened understanding and clarity about one's role in the moment, realizing that the agreement is dynamic and subject to re-negotiation at any time. Colleagues are also free to negotiate the scope and quantum of each person's decision-making authority (a concept called Decision Rights) with respect to each process for which a colleague has agreed to be accountable. This concept is ripe for further development in the future. Colleagues often turn to internal facilitators (coaches) who help sharpen role definitions and offer suggestions for Personal Commercial Mission development, Process stewardship clarity, decision-making clarity, Steppingstone development, and other CLOU elements. The operative word in the acronym "CLOU" is "Understanding". The crucial purpose of a CLOU is to develop and sustain Understanding. The purpose of the Colleague Letter, whether on paper on online, is to memorialize and publish that Understanding for the benefit of oneself and one's peers at work and to realize the substantial personal and business benefits thereof. What organization wouldn't want its employees to be clear about why they come to work and what they're expected to do?

Transparency: The CLOU are searchable by any colleague at any time, whether in a central file cabinet or in an online database file. Anyone can see anyone else's CLOU and pertinent the pertinent information therein. This contributes to a vibrant culture of openness, shared leadership and avoidance of bureaucratic overhead.

Local Knowledge: The CLOU provides a searchable knowledge base of fundamental talent and capability throughout the enterprise. Colleagues trying to solve a major problem or to manage a project can use the CLOU information and its inventory of individual skills, talents and interests to curate teams and address the compelling issues of the day with speed and effectiveness.

Accountability: The CLOU provides a baseline for crucial accountability conversations by and between peers. Since each representation on an individual's CLOU is a commitment, there is an actual basis for accountability referring to one's specific commitments. Instead of vague and unsatisfying circular colleague discussions based on divergent and inchoate understandings, clear accountability conversations are much more achievable based on core issues of integrity and trust

Actionable Feedback: The identified Steppingstones (Morning Star's term for Key Performance Indicators) are self-identified and negotiated metrics that measure the health of the processes for which one agrees to be accountable. When there are no bosses to provide rewards or punishments for either good or bad performance, individual colleagues must arrange for their own scorecards, whether self-created and reported or derived from one or more information systems maintained by others. To the degree possible, these Steppingstones reflect actionable (leading) measures where one can make thoughtful course corrections to improve performance ("play the game of work"). Again, to the degree possible, these Steppingstones are published transparently so that colleagues can offer help to each other when indicated to keep things on track.

Engagement: Developing one's CLOU is the responsibility of each individual colleague. This places the burden of achieving understanding with one's peers on each person, requiring a degree of emotional self-mastery, relationship awareness, initiative and communication. In additional, each colleague is free to learn, to lead and to innovate to the extent desired. The CLOU allows colleagues to fully define their goals, aspirations, talents and interests. The work environment allows each colleague to express those elements fully—a recipe for engagement.

Business Agility: The CLOU, negotiated with one's peers, defines the primary domain in which a colleague executes, innovates, leads and makes decisions, while ensuring that each colleague possesses personal responsibility for any issue that comes into his or her scope of awareness—a CLOU concept called Rings of Responsibility. All colleagues are free to address threats and opportunities and to execute, innovate and lead as needed. There are no inherent barriers to one taking initiative and exercising business agility in collaboration with, and consideration for one's fellow team members.

EVIDENCE OF IMPACT

The CLOU elevates attitudes, actions and outcomes in the following ways:

The CLOU increases *harmony and teamwork*. Team members negotiate the elements of their respective Colleague Letters of Understanding with each other, including their purpose, role content, and feedback measures. One recognized workplace leader recently described this process as being crucial to creating a foundation for a continuous, caring team mindset. Team members report using the CLOU to gain understanding of each other's talents and competencies, to facilitate highly effective teamwork.

The CLOU promotes *clarity of understanding regarding one's role and responsibilities.* Not only does the process of initial CLOU co-creation result in a mission focus and clarity regarding one's place in the work environment, but the CLOU is available for review at any time. In a recent informal survey, colleagues described using the CLOU proactively to clarify their own roles as well as the roles of their close colleagues. Since the CLOU is a living (online) document, colleagues are free to review and renegotiate their roles and responsibilities with each other to correct any ambiguity or misunderstanding.

The CLOU promotes *accountability*. Leaders describe reviewing the CLOU of fellow colleagues prior to engaging in difficult accountability conversations, so that they can fully understand the commitments to which others have subscribed and create highly effective (yet potentially challenging) conversations to effect change. The CLOU substantially facilitates these conversations. It's difficult, if not impossible, to hold a peer accountable without identifying the commitment for which that peer has accepted accountability.

The CLOU promotes *self-management and continuous performance improvement*. Colleagues report relying on the feedback mechanism of Steppingstones (part of the CLOU; performance measures are often provided in real time in the production cycle) to guide their future performance. This concept of acting on self-directed feedback rather than relying on a manager or supervisor is a crucial cornerstone of organizational self-management, allowing colleagues to *play the game of work* to the best of their ability.

Since the CLOU treats everyone as a peer (although with different roles and responsibilities), it promotes *a non-hierarchical mindset* where anyone can be a leader or an innovator.

ADDITIONAL MATERIALS

See following pages.

Colleague Letter of Understanding ("CLOU")

5/27/96 Draft

The purpose of this document is to clarify the relationship of responsibilities between _____ ("Colleague"), and Chris J. Rufer ("Chris"), under the auspices of The Morning Star Company, in order to improve the welfare of each party. Together, with other colleagues of mutually beneficial commercial interests, each of us agree to pursue, in good faith, the philosophies, mission statements and responsibilities identified herein.

Colleague Responsibilities

Colleague's Rings of Responsibility shall include total responsibility for the following:

1) Morning Star Colleague Vision;
2) Morning Star Colleague Mission;
3) specific commitments identified below, and;
4) all activities which are reasonably within the scope of Colleague's physical and professional awareness.

These Rings of Responsibility consist of a scope of awareness. Depending upon the situation, it is expected that the degree of effort Colleague expends in various activities will be relative to (1) their

direct responsibilities, and (2) the urgency and viability of opportunities and threats which impact our primary Ring of Responsibility--the Morning Star Colleague Mission. Colleague commits to take initiative to see that actions are taken which are in concert with achieving the Mission. The frame of reference for all activities is our Vision and our Mission.

Colleague commits to the following:

(Items #1 through #5 are summarized on an attached spreadsheet.)

1. Colleague's Personal Commercial Mission.

2. Specific activities which Colleague agrees to take responsibility.

3. Colleague's degree of freedom to satisfy responsibilities. List responsibilities and identify Colleague's clear decision making authority and areas where review is expected with fellow colleagues.

4. Colleague's improvement steppingstones and target results.

5. Identification and timing of information Colleague agrees to forward to Chris.

6. Colleague's requirement for resources to perform activities and achieve results is as follows:

Screen shots of CLOU (Online System)

COLLEAGUE: Joe Smith **Location: Williams** **CLOU YEAR:** 2013
BUSINESS UNIT: Steam Generation
MISSION: Operate and maintain steam systems, condensate systems, and electrical generation equipment, in order to fulfill the energy needs of our customers throughout the plant.

RESPONSIBILITIES / ACTIVITIES / IMPROVEMENT STEPPINGSTONES	2012	2013	Near Term Target	Perfect Results	Target Report Date
ADMINISTRATION					
Acquire, train and organize additional required colleague operators					
Total Number of Qualified Steam Generation Colleagues	3		4	-	Jun-2013
Purchase boiler chemicals					
Days from Invoice Receipt to Payment in Steam Generation Business Unit	7		5	-	Jun-2013
Boiler Chemical Use Efficiency (Chemical Cost / Thousand Lbs Steam Generated)	$ 0.081		$ 0.075	$ -	Nov-2013
Purchase natural gas					
Cost of Boiler Fuel per Therm	$ 0.6075		$ 0.5025	$ -	Nov-2013
OPERATIONS					
Generate steam for plant operations during processing season					
Percentage of Plant Operating Hours Steam Equipment was Available	98%		99%	100%	Nov-2013
Assist colleagues to achieve effective plant operations					
Plant Evaporation Efficiency (#Evap/#Steam)	1.47		1.72	Infinite	Nov-2013
Overall Plant Area Appearance and Cleanliness Rating	100%		100%	100%	Dec-2013
SAFETY					
Ensure a safe work environment for self and fellow colleagues					
Total Incident Rate (TIR) in Steam Generation Area	5.1		3.0	-	Jun-2013
Total Workers Compensation Costs Charged to Steam Generation	$ 40,500		$ -	$ -	Jun-2013
R&M					
Develop Steam equipment R&M strategies and policies					
Cost to Generate 1,000 Pounds of Usable Steam	$ 7.350		$ 6.250	$ -	Nov-2013
Maintain and repair steam generation equipment					
R&M expense per year.	$ 127,957		$ 105,000		Jun-2013
R&M expense as a percentage of total Capital Investment.	$ 1.780		$ 1.080		Jun-2013
CAPITAL INVESTMENTS					
Research and understand Steam Generation technologies					
Report of literature read, seminars and classes attended	3		3	Infinite	Jun-2013
Develop new technologies for implementation as capital projects					
Boiler Heat Transfer Efficiency (Steam BTU's/N Gas BTU's)	76.15%		81.25%	100%	Nov-2013
Plant Energy Efficiency (# water evap/therm)	110		132	Infinite	Nov-2013
Plant Energy Efficiency (#Steam/Ton tomatoes)	1,031		1,090	-	Nov-2013
Cost to generate 1,000 pounds of useable steam	$ 8.31		$ 8.04	$ -	Nov-2013
Implement capital improvement projects in Steam Generation area					
Total Capital Investment in Steam Generation Systems.	$ 7,168,636		$ 720,100	$ -	Jun-2013
Total Capital Investment per pound of steam generation capacity	$ 10.70		$ 10.750	$ -	Nov-2013

CLOU COLLEAGUES

Colleague	Business Unit	Location
Jay Jones	Steam	Williams
Ken Alans	Steam	Williams
John Henderson	Steam	Williams
Jose Gonzales	Steam	Los Banos
Brenda Simmons	Steam	Santa Nella
George Gomez	Evaporation	Williams
Larry Turner	Tomato Prep	Williams
Brian West	Aseptic	Williams

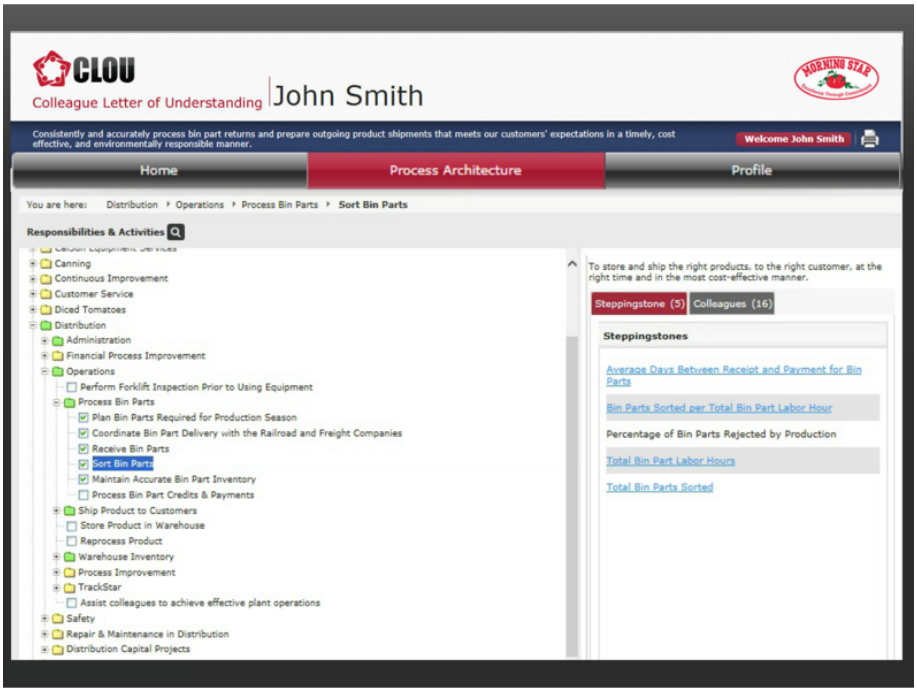
Personal Development Goals

Short Term Goals

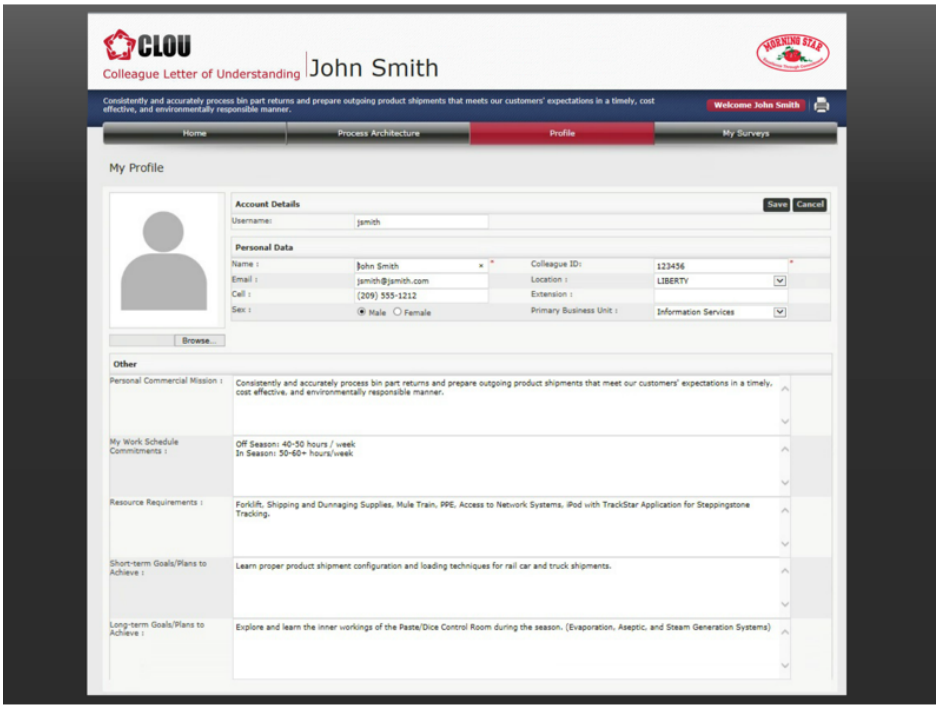
Increase steam reliability to 100%. Provide reliable and economical steam and electricity for season. Cross training of other colleagues in the boiler area. Prove out effectiveness of off season changes to boiler room and steam system.

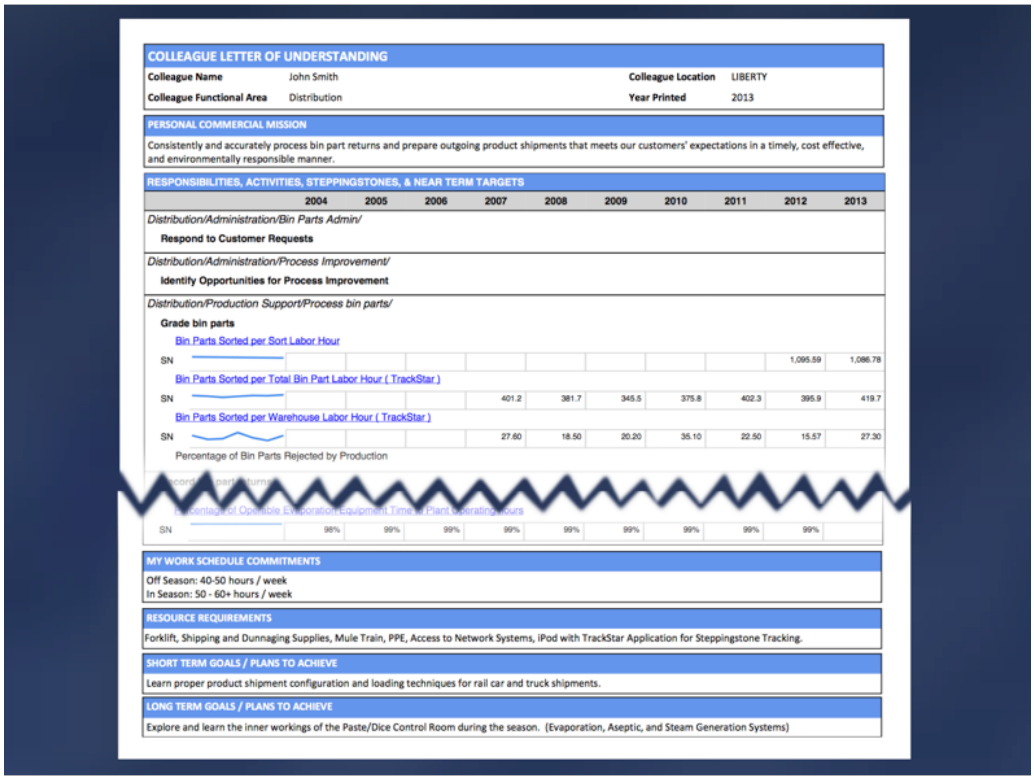
Long Term Goals

Increase knowledge of all areas of factory. Increased improvement in steam and electrical generation capacity. Increase accuracy of Business Unit recording of data. Complete steam flow transmitter projects and integrate information and data obtained into all Business Unit functions.




CLOU
Colleague Letter of Understanding
John Smith
MORNING STAR
Consistently and accurately process bin part returns and prepare outgoing product shipments that meets our customers' expectations in a timely, cost effective, and environmentally responsible manner.
Welcome John Smith
Home
Process Architecture
Profile
My Updates
Janet Jones has made a change to the Process Architecture.
Review and approve the change now.
Wednesday, Jun 19, 2013 Mark As Read
Dashboard
Location: All
Watch Steppingstone
DashBoard
Grid
20 Yrs 10 Yrs 5 Yrs 2 Yrs 1 Yr 3 M 1 M 7 D 48 H 24 H
Bin Parts Moved per Move Labor Hour
Bin Parts Received per Receive Labor Hour
Fiscal Year
Bin Parts Sorted per Total Bin Part Labor Hour (TrackStar)
Bin Parts Sorted per Warehouse Labor Hour (TrackStar)
Percentage of Operable Evaporation Equipment Time to Plant Operating hours
Pounds Dunnaged per Dunnage Labor Hour
Calendar Year
My CLOU Colleagues
Greg Gains (5)
Jane Doe (2)
Janet Jones (6)
Ron Caoua (1)


CLOU
Colleague Letter of Understanding
John Smith
MORNING STAR
Consistently and accurately process bin part returns and prepare outgoing product shipments that meets our customers' expectations in a timely, cost effective, and environmentally responsible manner.
Welcome John Smith
Home
Process Architecture
Profile
My Surveys
My Profile
Account Details
Save
Cancel
Username: jsmith
Personal Data
Name : John Smith
Email : jsmith@jsmith.com
Cell : (209) 555-1212
Sex : Male Female
Colleague ID: 123456
Location : LIBERTY
Extension :
Primary Business Unit : Information Services
Browse...
Other
Personal Commercial Mission : Consistently and accurately process bin part returns and prepare outgoing product shipments that meet our customers' expectations in a timely, cost effective, and environmentally responsible manner.
My Work Schedule Commitments : Off Season: 40-50 hours / week
In Season: 50-60+ hours/week
Resource Requirements : Forklift, Shipping and Dunnaging Supplies, Mule Train, PPE, Access to Network Systems, iPod with TrackStar Application for Steppingstone Tracking.
Short-term Goals/Plans to Achieve : Learn proper product shipment configuration and loading techniques for rail car and truck shipments.
Long-term Goals/Plans to Achieve : Explore and learn the inner workings of the Paste/Dice Control Room during the season. (Evaporation, Aseptic, and Steam Generation Systems)



COLLEAGUE LETTER OF UNDERSTANDING

Colleague Name	John Smith	**Colleague Location**	LIBERTY
Colleague Functional Area	Distribution	**Year Printed**	2013

PERSONAL COMMERCIAL MISSION

Consistently and accurately process bin part returns and prepare outgoing product shipments that meets our customers' expectations in a timely, cost effective, and environmentally responsible manner.

RESPONSIBILITIES, ACTIVITIES, STEPPINGSTONES, & NEAR TERM TARGETS

	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013
Distribution/Administration/Bin Parts Admin/										
Respond to Customer Requests										
Distribution/Administration/Process Improvement/										
Identify Opportunities for Process Improvement										
Distribution/Production Support/Process bin parts/										
Grade bin parts										
Bin Parts Sorted per Sort Labor Hour										
SN									1,095.59	1,086.78
Bin Parts Sorted per Total Bin Part Labor Hour (TrackStar)										
SN				401.2	381.7	345.5	375.8	402.3	395.9	419.7
Bin Parts Sorted per Warehouse Labor Hour (TrackStar)										
SN				27.60	18.50	20.20	35.10	22.50	15.57	27.30
Percentage of Bin Parts Rejected by Production										
[illegible] per Returns										
Percentage of Operable Evaporation Equipment Time vs Plant Operating Hours										
SN	98%	99%	99%	99%	99%	99%	99%	99%	99%	

MY WORK SCHEDULE COMMITMENTS

Off Season: 40-50 hours / week
In Season: 50 - 60+ hours / week

RESOURCE REQUIREMENTS

Forklift, Shipping and Dunnaging Supplies, Mule Train, PPE, Access to Network Systems, iPod with TrackStar Application for Steppingstone Tracking.

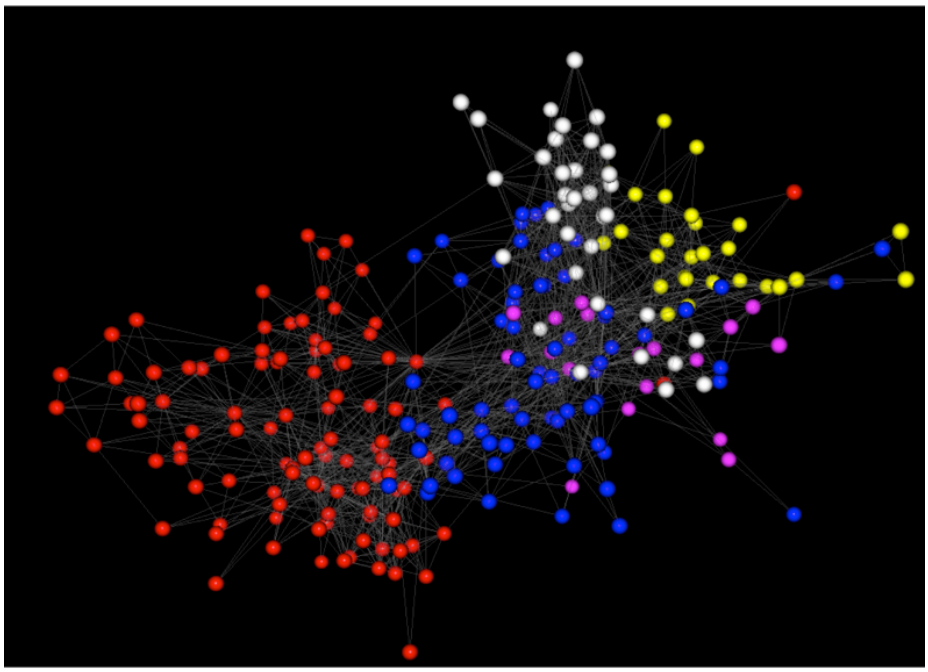
SHORT TERM GOALS / PLANS TO ACHIEVE

Learn proper product shipment configuration and loading techniques for rail car and truck shipments.

LONG TERM GOALS / PLANS TO ACHIEVE

Explore and learn the inner workings of the Paste/Dice Control Room during the season. (Evaporation, Aseptic, and Steam Generation Systems)

Digitized Rendering of CLOU Network, Color-Coded by Location



Time-Lapse Video Frame of CLOU Formation at Morning Star- Los Banos

